

AGI ROOT ONE COIN

D4 — Commercial Layer Specification

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Document Authority

Approved by: The Board of AGI | Cross-reviewed by: Chat 1 (Structural Firewall) + Chat 2 (Drafting Engine)

Canonical chain: Polygon Mainnet | Subordinate to: AGI Root One Coin Laws v1 + AGI Root Framework v1.1

Scope: D4 Commercial Layer only. No D1, D2, or D3 modifications. Does not affect Root authority, anchor integrity, or governance structure.

D4.1 — Permanent Firewalls

Authority firewall: D4 commercial revenue and referral structures shall not influence D1 authority, D2 anchor integrity, D3 governance authority, Root custody, emergency powers, or enforcement thresholds.

No authority-by-commerce: No spend, revenue, referral tier, or commercial role may grant voting rights, custody power, enforcement privilege, or any constitutional standing.

D4.2 — Definitions

Term	Definition
Gross Service Revenue (GSR)	Total service-layer revenue collected for a period (net of refunds/chargebacks already processed).
Affiliate Payouts (AP)	Referral commissions, bounties, or service credits paid under D4.4–D4.6.
Net Platform Revenue (NPR)	$NPR = GSR - AP$. Base for ecosystem allocation.

D4.3 — Revenue Waterfall (Sequencing is Final and Non-Negotiable)

GSR → minus Affiliate Payouts (AP, capped) → NPR → apply ecosystem allocation to NPR only.

Board Confirmation: The 3% Registry Operations allocation to the .AGI TLD holder is calculated from NPR (Gross minus Affiliate Cost-of-Acquisition). This sequencing is final and non-negotiable. This is the only location in D1–D4 where the 3% TLD allocation appears. It does not appear in D1, D2, D3, Root token metadata, or the anchor contract.

D4.4 — Affiliate Network (Optional; D4-Only; Performance-Based)

- **Purpose:** Performance-based customer referral payouts for verified service revenue only.
- **No buy-in:** Participation is free.
- **No recruitment-only payouts:** Recruiting affiliates does not earn payouts by itself. Each tier earns only from downstream verified service revenue, never from the act of recruiting alone.
- **No ownership or authority:** Affiliates receive no token ownership, no governance rights, no enforcement influence, and no constitutional authority.
- **Revenue basis:** AP accrues only from verified service revenue events (paid invoices / settled usage).
- **Anti-fraud:** AP may be withheld or reversed for refunds, chargebacks, fraud, or policy violations, with full audit logs.

D4.5 — Affiliate Caps (Hard Limits)

Cap Type	Limit	Notes
Total AP hard cap	$\leq 15\%$ of GSR	Per accounting period (recommended: monthly)
Tier 1 cap	$\leq 8\%$ of GSR	Direct referral
Tier 2 cap	$\leq 4\%$ of GSR	Second-level referral
Tier 3 cap	$\leq 3\%$ of GSR	Third-level referral

If calculated AP exceeds caps, payouts are pro-rated and/or deferred per published D4 ops rules.

D4.6 — Earning Window (Optional)

Default earning window per referred party: 12 months from first verified revenue event.

Optional extended earning window: 24 months, if enabled in D4 ops configuration.

D4.7 — Ecosystem Allocation (Applies to NPR Only)

Allocation	Percentage	Notes
Registry Operations (.AGI TLD holder)	3% of NPR	Service-layer registry ops. Paid for registry operations, not Root ownership.
Governance Operations	3% of NPR	D3 ops costs only. No additional authority.
UBI Systems	3% of NPR	Implementation-defined. Non-sovereign.
Infrastructure / Expansion	3% of NPR	Implementation-defined.
Builders / Developers	88% of NPR	Primary beneficiaries.

D4.8 — Audit Logging (Required)

All AP calculations and payouts must be logged with:

- Period ID, affiliate ID, referred ID (pseudonymous where possible)
- Revenue basis and attribution rule version
- Tier/rate applied, payout amount and currency
- Holds/reversals and reason codes
- Timestamp and transaction reference (on-chain and/or off-chain)
- **Retention:** Audit logs must be retained for a minimum of 7 years and be producible on regulatory request.

D4 Compliance Notes (Board-Approved — Including FinCEN Clarification)

FinCEN / Money Transmission Positioning (US)

This D4 affiliate structure is designed so that affiliate payouts:

- Are tied solely to verified service revenue, and
- Are paid directly by the service operator to the referring party, and
- Do not create pooled custody or custodial aggregation of affiliate earnings.

Settlement confirmation: Affiliate payouts are settled per accounting period directly to the affiliate's designated affiliate-owned payout address; no long-term custodial storage of affiliate funds occurs.

No pooled custody / no shared fund: D4 does not hold affiliate balances for later withdrawal as a custodial service, does not operate a pooled account on behalf of affiliates, and does not transmit funds between third parties on affiliate instruction.

No stored value accounts: The system does not maintain stored-value wallets or custodial ledger accounts holding affiliate funds pending user-directed transfer.

No third-party transmission behavior: The platform does not accept funds from one party for the purpose of transmitting those funds to another party at that party's direction outside the service-revenue payout process.

Design intent: Under FinCEN's framework, money transmission generally involves accepting and transmitting funds/value for another person as a business, while certain activity integral to the provision of goods/services is treated differently and is fact-dependent. FinCEN MSB status determinations are made on a facts-and-circumstances basis.

Implementation requirement: D4 operations must avoid features resembling custodial wallets, pooled value storage, user-directed fund transfers, or third-party payment processing patterns that would alter the above characterization.

State Law Note (US — REQUIRED ACTION before D4 goes live): Even if designed to avoid federal money transmission characterization, state money transmission and licensing rules may differ. Counsel review is required for all launch jurisdictions before D4 goes live.

FTC / Consumer Protection Disclosure

- Affiliates must clearly disclose compensation relationships.
- No earnings guarantees and no misleading income claims.
- Public-facing language must remain infrastructure-grade: 'Performance-based affiliate distribution for namespace services.'
- Do not use: 'passive income,' 'downline,' 'network marketing revolution,' or revenue projections.

Privacy (GDPR / CCPA Principles)

- Minimize personal data by default (use service account IDs or wallet addresses where feasible).
- Provide clear notice for tracking; obtain consent where required.
- Publish retention and deletion processes.

Note: Compliance notes are drafting guidance, not legal advice.

D4 Change Control Rule (12-Month Review; D4-Only)

- **Review cadence:** D4 commercial terms (affiliate rates, tiers, earning window, attribution, fraud rules, payout rails) are reviewed every 12 months.
- **D4-only scope:** Changes may be made only within D4 and must not modify D1–D3 or violate D4.1 firewalls.
- **Sequencing lock:** Waterfall sequencing remains fixed: AP is deducted from GSR before NPR allocation; 3% Registry Ops to .AGI TLD holder is calculated from NPR.
- **Cap discipline:** Total AP cap (15% of GSR) and tier caps (8/4/3) remain in force unless revised under D4 change control and still consistent with D4.1 firewalls.

Audit + notice: Every change must be recorded with: effective date, version ID, before/after parameters, rationale, statement 'No D1–D3 changes,' and published update to D4 mirror docs.

Complete AGI Root Architecture Stack — Reference Summary

Layer	Document	Status	Purpose
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D1	AGI_Root_One_Coin_Laws_v1.pdf	LOCKED	Root Constitution — Authority
D2	AGI_Root_One_Coin_D2_Deployment_Record	LIVE ON POLYGON	On-chain Anchor — ERC-721, Supply=1
D3	AGI_Root_One_Coin_D1-D3_Operational_Architecture_Spec.pdf	LOCKED	Governance Guardrails — Negative Powers Only
D4	AGI_Root_One_Coin_D4_Commercial_Layer_Spec_v1.pdf (AND A2)	BOARD APPROVED	Commerce — Revenue, Affiliate, Distribution

D1–D4 are canonically aligned, cross-system reviewed, and Board-approved. Authority flows downward (D1→D2→D3→D4 constraints). Revenue flows only within D4. Root stands outside revenue.

Next phase: D3 Custody Hardening (Five-Safe Model setup on Gnosis Safe) → D4 Mirroring (IPFS/Arweave/GitHub/public page).